

bank's processes. "This is particularly on the credit side where sanctions are concerned, and also on monitoring and controls, whether it is transaction monitoring or other things," he said. What stands out, among other things, is the way customisation and optimisation have led to a significant reduction in man-hours—around 50,000 in the first three quarters of the fiscal year.

Banking and digital are today mentioned in the same breath. At a time when everything in banking is around customer experience, going digital is non-negotiable. "From a strategic standpoint, the digital and technology-led transformation initiated by Bank of India was both timely and necessary. The banking landscape has changed rapidly, with customers shifting towards digital channels and competitors investing heavily in technology to drive scale and efficiency," says Raj Gaikar, research analyst at Samco Securities. The approach to technology at large will depend on size and scale. "For a large public sector bank, improving operating leverage, reducing cost-to-income ratio and enhancing turnaround time were critical to protect margins and sustain growth," he adds.

Project Star Light to help human resources prepare for strategic growth and new-age banking was initiated with the Boston Consulting Group.

GETTING FUTURE-READY

In line with the emerging artificial intelligence (AI) story, Karnatak, at the earnings call, spoke of Star Aditya, a data lake project. "This is AI, machine learning, and generative AI, where a lot of use cases have already started flowing to our verticals, branches, zonal offices and even to the underwriting centres," he explained. Karnatak specifically

TAKING CHARGE

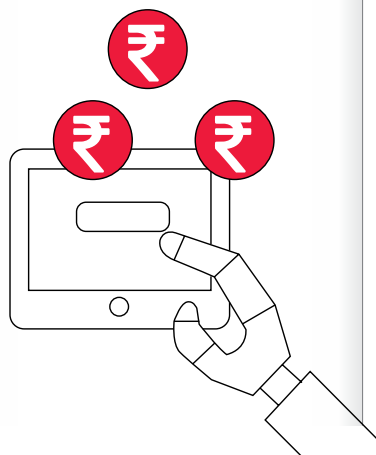
Bank of India undertook two big initiatives, Project Star NextTech and Project Star Light, to usher in a transformation

Rajneesh Karnatak's initiatives on the digital side are not restricted to IT but also cover cybersecurity

Star Aditya, a data lake project, was launched in line with the emerging AI story

The bank is spending 10% of the total operating expenses on IT, apart from the capex outgo

It delivered a steady performance on the back of robust growth in its domestic advances and improved asset quality



mentioned that 10% of the total operating expenses are on IT. "Our management is clearly into the IT system, and we want the experience of customers to improve through digital journeys. We will also improve our systems and procedures on the cybersecurity stack," he said.

Samco Securities' Gaikar thinks it is difficult to calculate direct financial returns (from investing in digital) for the bank in the short term. "However, improvement in asset quality, operating leverage and business growth momentum suggests that structural efficiencies are beginning to reflect in performance metrics. The transformation is not limited to customer-facing apps but extends to backend systems, data frameworks and process simplification," he says. Key requirements over time will be execution discipline and sustained digital adoption. "This is to ensure the investment cycle translates into durable productivity and long-term shareholder value."

The money spent on digital must be viewed as an investment that starts to bear fruit over time. A report on Bank of India by Geojit Investments, after the third quarter results for FY26, observed how the bank delivered a steady performance on the back of robust growth in domestic advances and improved asset quality. It emphasised domestic advances were expected to improve further, "supported by strategic initiatives targeting new customer segments, such as gig workers and solar projects, alongside digital product offerings." The impact of a key business transformation is already being felt at Bank of India. **BT**

@krishnagopalan